CHAPTER 2

PRINCIPLES OF MANAGEMENT

CHAPTER ESSENCE AT A GLANCE:
Examine fundamental managerial principles: Fayol 14 principles of general administrative management versus Taylor scientific management techniques and time-motion studies.

4 CORE PRINCIPLES TO UNDERSTAND FIRST

• **Nature of Management Principles:** Universal broad guidelines for managerial decision-making formed through observation and experimentation, flexible in application and contingent on business situations.

• **Fayol 14 Administrative Principles:** Core administrative tenets: Division of Work, Authority and Responsibility, Discipline, Unity of Command, Unity of Direction, Subordination of Individual Interest, Remuneration, Centralisation, Scalar Chain, Order, Equity, Stability of Personnel, Initiative, and Esprit de Corps.

• **Taylor Scientific Management Paradigm:** Scientific approach: Science not Rule of Thumb, Harmony not Discord, Cooperation not Individualism, and Development of each person to greatest efficiency.

• **Scientific Work Study Techniques:** Time study (standard time determination), Motion study (eliminating unproductive movements), Method study (best way of doing a job), and Differential Piece Wage System.

ESSENTIAL FORMULAS & GOVERNING EQUATIONS

$$\text{Unity of Command Principle} \iff 1 \text{ Subordinate Employee} \to 1 \text{ Immediate Superior Boss}$$

Dual Subordination Prevention Axiom

$$\text{Scalar Chain Gang Plank} \iff \text{Direct Horizontal Communication Route Across Equal Ranks}$$

Emergency Administrative Communication Bridge

$$\text{Taylor Work Study Suite} = \text{Method Study} + \text{Motion Study} + \text{Time Study} + \text{Fatigue Study}$$

Scientific Job Standardization Taxonomy

$$\text{Differential Piece Rate} \iff \text{High Wage for Output} \geq \text{Standard} \quad \text{vs} \quad \text{Low Wage Below Standard}$$

Performance Incentive Incentive Wage Model

CRUCIAL EXAM PRECAUTIONS & VALUATION RUBRIC SECRETS

• **Alert:** Unity of Command prevents dual subordination (one employee reports to only one boss); Unity of Direction ensures one head and one plan for a group of activities with the same objective.

• **Alert:** Gang Plank is an exception to the Scalar Chain permitting direct communication between employees of equal rank in emergencies to avoid bureaucratic delays.

• **Alert:** Differential Piece Wage System penalizes inefficient workers by paying lower piece rates and rewards efficient workers who meet or exceed standard output.

HIGH-YIELD CENTUM QUESTIONS & STEP-BY-STEP EXPLANATIONS

1. Distinguish between Unity of Command and Unity of Direction across two parameters. [Score: 2 Marks]

Answer & Key Valuation Steps:

• **Meaning:** Unity of Command means a subordinate should receive orders from and be accountable to only one superior; Unity of Direction means each group of activities having the same objective must have one head and one plan. [1 Mark]

• **Aim:** Unity of Command prevents dual subordination and personal confusion; Unity of Direction prevents overlapping of activities and duplication of effort. [1 Mark]

2. What is Gang Plank in Fayol's Scalar Chain? When can it be utilized? [Score: 2 Marks]

Answer & Key Valuation Steps:

• **Definition:** A direct horizontal communication bridge between two employees of the same rank cutting across the formal scalar chain of authority. [1 Mark]

• **Condition of Use:** Strictly utilized in emergency situations to prevent dangerous operational delays, with prior knowledge of their immediate superiors. [1 Mark]

3. Explain the following principles of Henri Fayol: (a) Discipline, (b) Order, (c) Esprit de Corps. [Score: 3 Marks]

Answer & Key Valuation Steps:

• **(a) Discipline:** Obedience to organizational rules and employment agreements, requiring good superiors at all levels and judicious application of penalties. [1 Mark]

• **(b) Order:** 'A place for everything and everything in its place', ensuring physical materials and personnel are stationed in appointed locations for maximum efficiency. [1 Mark]

• **(c) Esprit de Corps:** Management should promote team spirit, unity, and harmony among employees, replacing 'I' with 'We' in conversations. [1 Mark]

4. Explain Taylor's Scientific Management principles: (a) Science, not Rule of Thumb, (b) Harmony, not Discord. [Score: 3 Marks]

Answer & Key Valuation Steps:

• **(a) Science, not Rule of Thumb:** Developing a scientific method for each element of a man's work through time and motion studies, replacing intuitive trial-and-error. [1.5 Marks]

• **(b) Harmony, not Discord:** Achieving mental revolution where management and workers share prosperity, realizing that enterprise success depends on mutual cooperation. [1.5 Marks]

5. Explain how Taylor's Motion Study and Time Study help in standardizing worker performance. [Score: 3 Marks]

Answer & Key Valuation Steps:

• **Motion Study:** Involves close visual observation of body movements to identify and eliminate unproductive, wasteful motions, designing the most efficient work posture. [1.5 Marks]

• **Time Study:** Determines the standard time taken by an average worker to complete a well-defined job using stopwatch measurements, setting daily production quotas. [1.5 Marks]

6. Explain Taylor's Differential Piece Wage System with an illustrative numerical example. [Score: 3 Marks]

Answer & Key Valuation Steps:

• **Mechanism:** Workers are paid higher piece rates if they achieve or exceed the standard quota, and lower piece rates if output falls below standard. [1 Mark]

• **Example:** Standard = 20 units. Rate above standard = Rs 10; Rate below standard = Rs 8. [1 Mark]

• **Incentive Impact:** Worker A producing 22 units earns Rs 220; Worker B producing 18 units earns Rs 144. The large pay differential strongly motivates efficiency. [1 Mark]

7. Compare the contributions of Henri Fayol and F.W. Taylor across: Perspective, Basis of formation, Focus, and Applicability. **[Score: 4 Marks]**

Answer & Key Valuation Steps:

• **Perspective:** Fayol worked from the top management level downwards; Taylor focused on the shop-floor operational factory level upwards. **[1 Mark]**

• **Basis of Formation:** Fayol based principles on personal administrative experience; Taylor based techniques on scientific observation and measurements. **[1 Mark]**

• **Focus:** Fayol aimed at improving overall administrative efficiency of enterprise; Taylor focused on increasing worker productivity and eliminating waste. **[1 Mark]**

• **Applicability:** Fayol's principles are universally applicable to all organizations; Taylor's techniques apply primarily to manufacturing factories. **[1 Mark]**